

out what is going on, but I'm not going to make a decision because other people are choosing to make a decision out of emotion. I'm not going to be *that* guy.

There was one exception, though. I had to throw in the towel on my short position in homebuilders.

Was it a good decision that you covered your short position?

Yes, I was much too early.

When did you get bearish on the current market?

I remember in September [2010] saying to Zach, "Wow, the market is going up here. I should be long stocks." After the market rallied, I started going net short in October, and then at the end of the month, the market started to rally really hard. In November, I realized I had to adjust my position. Instead of covering my shorts, I started buying a lot more longs in value stocks, which started to catch in November and December, and that helped me a lot. In December, I made back most of the money I lost in October and November.

But you were still net short?

Yes, I haven't been net long since September.

Even though you thought the market was going higher?

Because it didn't make sense to me that it was going higher. So I just reduced my short exposure by buying longs. The way I looked at it, the more the market went up, the more right my short was going to be. The more it went up, the more money smart people would take off the table. Smart guys always sell when the market is going up. That's how they make money.

I'm not trying to prove I'm right. I'm not trying to prove the market is stupid. I just like making money. There are so many guys I've seen in my career who do something just because someone else is doing it. That is a way of getting beat up. I believe I have as good a sense as anybody in the market. I trust that sense, and it has served me well.

Was that sense there from the beginning?

Yes, that sense was there early on.